Format

Bills payable book

Date of acceptance of the bill	To whom acceptance is given	Term of the bill	Due date of the bill	L.F.	Amount of the bill ₹	Remark
(i)	(ii)	(iii)	(iv)	(v)	(vi)	(vii)

These columns record almost the same particulars which are recorded in the bills receivable book. When there is credit purchases of goods, the business entity may accept a bill drawn by the supplier or creditor. It is called bills payable for the business entity. Where there are large number of such bills payable, a separate bills payable book may be maintained. Thus, bills payable book is a subsidiary book maintained to record the details of bills payable.

The preparation of the bills receivable and bills payable book is explained through the following example:

2017 July 1	Acceptance received from Nirmala for ₹ 5,000 payable after 3 months.
July 20	Acceptance given to Shailaja's bill for ₹ 3,000 payable after 3 months.
July 31	Acceptance received from Faisal for ₹ 1,000 payable after 60 days.
Aug. 5	Farid's bill for ₹ 1,000 payable after 6 months accepted.
Aug.11	Mohan's acceptance for ₹ 700 payable after 90 days received.

The bills receivable and bills payable books are prepared as follows:

Bills Receivable Book

Date	From whom received	Term	Due date	L.F.	Amount ₹	Remark
2017			2017			
July 1	Nirmala	3 months	October 4		5,000	
July 31	Faisal	60 days	October 1		1,000	
Aug 11	Mohan	90 days	November 12		700	
	Total				**6,700**	

Note: On 31st July, for Faisal bill, due date is 1st October, since 2nd October, (being Gandhi Jayanthi) is a public holiday.

Bills Payable Book

Date	To whom accepted	Term	Due date	L.F.	Amount ₹	Remark
2017			2017			
July 20	Shylaja	3 months	October 23		3,000	
			2018			
Aug 5	Farid	6 months	February 8		1,000	
	Total				**4,000**	

6.12 Journal proper

Journal proper is a residuary book which contains record of transactions, which do not find a place in the subsidiary books such as cash book, purchases book, sales book, purchases returns book, sales returns book, bills receivable book and bills payable book. Thus, journal proper or

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